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| | | Here, the FAC sufficiently alleges a cause of action for fraudulent concealment against Defendant. As such, the FAC alleges sufficient facts to warrant punitive damages against Defendant. The Motion is DENIED. |
| 108. | 2022-1272612 Guerrero v. A Better Life Recovery, LLC. | Plaintiff's Objections 1 – 4 to the Declaration of William Mara are OVERRULED.<br><br>Defendants' Objections 1 – 14 to the Declaration of Christian J. Petronelli are OVERRULED.<br><br>Defendants' Objections 1 – 9 to the Declaration of Rachel Guerrero are OVERRULED.<br><br>Defendants, A Better Life Recovery, LLC and A Mission For Michael, Inc., Motion to Compel Arbitration is DENIED. Defendants have not met their burden of showing that a valid written agreement to arbitrate exists. The Declaration of William Mara does not lay a proper or sufficient business records foundation under Evidence Code §1271. Because he has not laid a sufficient business records foundation, it has not been shown that any electronic signature has been shown to be the act of plaintiff as required by Civil Code §1633.9(a).<br><br>Moving party shall give notice. |
| 109. | 2023-1311720 Home Expo Group LLC v. Nguyen | Off calendar pursuant to Notice filed. |
| 110. | 2022-1295621 Kowalski v. BMW of North America LLC | Defendant BMW of North America, LLC.'s motion to compel arbitration of Plaintiffs Tuvet Tran's and Lucille Kowalski's claims is denied.<br><br>Plaintiffs' objections are overruled.<br><br>The Retail Installment Sales Contract ("RISC") that Plaintiffs signed when they purchased the vehicle at issue in this Song-Beverly case contained an arbitration provision that includes the following language (emphasis added):<br><br>Either you or I may choose to have any dispute between us decided by arbitration and not in a court or by jury trial. If a dispute is arbitrated, I will give up my right to participate as a class representative or class member on any Claim I may have against you including any right to class arbitration or any consolidation of individual arbitrations. Discovery and rights to appeal in arbitration are generally more limited than in a |

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| | | lawsuit, and other rights you and I would have in court may not be available in arbitration.<br><br>"Claim" broadly means any claim, dispute or controversy, whether in contract, tort, statute or otherwise, whether preexisting, present or future, between me and you or your employees, officers, directors, affiliates, successors or assigns or between me and any third parties if I assert a Claim against such third parties in connection with a Claim I assert against you, which arises of or relates to my credit application, purchase or condition of this Vehicle, this Contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this Contract). Any Claim shall, at your or my election, be resolved by neutral, binding arbitration and not by a court action….<br><br>This Contract involves interstate commerce and this Arbitration Clause and any arbitration hereunder shall be governed by the FAA and not by any state law concerning arbitration.<br><br>(Grener Decl., Ex. A.)<br><br>Also relevant is that the RISC is this introductory language (emphasis added):<br><br>This Motor Vehicle Retail Installment Contract ("Contract") is entered into between the buyer(s) ("Buyer") and the seller ("Seller") named above. Unless otherwise specified or required by context, "I", "me" and "my" refer to the Buyer and "you" and "your" refer to the Seller or Seller's assignee.<br><br>Notably, the parties to the RISC are Plaintiffs and Sterling BMW, not the moving defendant. The dispute centers around whether Defendant BMW has standing to enforce this arbitration agreement.<br><br>Here, Defendant argues that it has standing to enforce the agreement for two reasons.<br><br>First, Defendant contends it is a third-party beneficiary as an affiliate of the assignee of the purchase contract. Second, Defendant argues it has standing under the doctrine of equitable estoppel.<br><br>Third-party beneficiary |

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| | | Defendant asserts it is entitled to enforce the Agreement as a third-party beneficiary. "A third-party beneficiary is someone who may enforce a contract because the contract is made expressly for his benefit." (Jensen v. U-Haul Co. of California (2017) 18 Cal.App.5th 295, 301.)<br><br>Recently, in Ford Motor Warranty Cases (Ochoa) (2023) 89 Cal.App.5th 1324, the Court of Appeal noted that "[t]o show the contracting parties intended to benefit it, a third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) 'the third party would in fact benefit from the contract'; (2) 'a motivating purpose of the contracting parties was to provide a benefit to the third party'; and (3) permitting the third party to enforce the contract 'is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.'" (Id. at 1337 [citing Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 827, 830].)<br><br>Analyzing the arbitration clause at issue, which is like the one here, the court found that the sale contracts reflected no intention to directly benefit the vehicle manufacturer. (Id. at 1338.) Further, there was no indication that a benefit to the manufacturer was the signatories' "motivating purpose" in contracting for the sale of the vehicle. (Id. at 1338-1339.) Rather, the "manifest intent of the parties was to buy, sell and finance a car, and to allow either the purchaser or the dealer to compel arbitration of the specified categories of disputes between them, or between the purchaser and any of the dealer's 'employees, agents, successors or assigns.'" (Id. at 1339.) The court noted that had the parties to the contract intended to benefit the manufacturer, they could have simply named it as a person entitled to compel arbitration. (Id.) Instead, like in this matter, the arbitration provides only that "'EITHER YOU OR WE'—the purchaser or the dealer—'MAY CHOOSE TO HAVE ANY DISPUTE BETWEEN US DECIDED BY ARBITRATION,' and reiterated that arbitrable disputes 'shall, at your or our'—the purchaser's or the dealer's—'election, be resolved by neutral, binding arbitration ....'" (Id. [emphasis in original].)<br><br>Also, like in this matter, the defendant in Ochoa attempted to argue that the contract's reference to "third parties who do not sign this contract" gave it a right to arbitrate. (Id.) But "this reference concerns what may be arbitrated, not who may arbitrate. Who may enforce an arbitration agreement is a |

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| | | separate matter from the types of disputes the agreement covers." (Id. [emphasis in original].)<br><br>Finally, the court held that allowing the manufacturer to enforce the arbitration clause would be inconsistent with the "reasonable expectations of the contracting parties," given that they expressly vested the right of enforcement in the purchaser and dealer only. (Id. at 1340 [citing (Goonewardene, supra, 6 Cal.5th at p. 830].)<br><br>Like in Ochoa, the Court finds that here, Defendant BMW does not have standing as a third-party beneficiary to enforce the arbitration contract.<br><br>Equitable estoppel<br><br>Defendant alternatively argues that arbitration should be compelled pursuant to the doctrine of equitable estoppel, which provides that "a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes<br><br>of action against the nonsignatory are intimately founded in and intertwined' with the underlying contract obligations." (Felisilda v. FCA US LLC (2020) 53 Cal.App.5th 486, 495). "By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement." (Id. at 496). "Where the equitable estoppel doctrine applies, the nonsignatory has a right to enforce the arbitration agreement." (Id.).<br><br>The Court recognizes that there is a split of authority on the issue.<br><br>The Third District in Felisilda v. FCA US LLC (2020) 53 Cal.App.5th 486 found that an arbitration agreement contained in a sales contract between the dealer and purchaser could be enforceable against the manufacturer under the doctrine of equitable estoppel. However, more recently, the courts in Ford Motor Warranty Cases (Ochoa), supra, 89 Cal.App.5th 1324, Montemayor v. Ford Motor Co. (2023) 92 Cal.App.5th 958 and Kielar v. Superior Court (2023) 94 Cal.App.5th 614 disagreed with the reasoning in Felisilda and concluded that the manufacturer was not entitled to enforce the arbitration agreement. |

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| | | When there is a split in authority, the trial court may follow the decision it finds to be the most persuasive. (Auto Equity Sales, Inc. v. Superior Court (1962) 57 Cal.2d 450, 456 [when "appellate decisions are in conflict" a "court exercising inferior jurisdiction can and must make a choice between the conflicting decisions"].)<br><br>Disagreeing with Felisilda, the Ochoa court held that "manufacturer vehicle warranties that accompany the sale of motor vehicles without regard to the terms of the sale contract between the purchaser and the dealer are independent of the sale contract." (Id.)<br><br>The court in Ochoa further explained: "California law does not treat manufacturer warranties imposed outside the four corners of a retail sale contract as part of the sale contract." (Id. at 1335.) "[O]ur Supreme Court [has] distinguished between, on the one hand, warranty obligations flowing from the seller to the buyer by contract, and, on the other hand, manufacturer warranties 'that arise[] independently of a contract of sale between the parties.'" (Id. at 1336.) Thus, the Ochoa court held that "Plaintiff's claims in no way rely on the sale contracts" and, consequently, "[e]quitable estoppel does not apply." (Id. at 1336; see also gen. Kielar v. Superior Court (2023) 94 Cal.App.5th 614 and Montemayor v. Ford Motor Co. (2023) 92 Cal.App.5th 958 [both agreeing with Ochoa and disagreeing with Felisilda].)<br><br>After reviewing the cases, the court agrees with the law stated in Ochoa, Kielar, and Montemayor. Plaintiffs' claims here based on the manufacturer's warranties, are not so intertwined with the contract obligations in the RISC, to justify invoking the equitable estoppel doctrine to compel a nonsignatory to arbitrate.<br><br>Accordingly, the motion to compel arbitration is denied.<br><br>Plaintiffs shall give notice. |
| 111. | 2022-1297372<br>Lehman v. U.D.R. | The Demurrer by Defendant DCO Pacific City LLC, erroneously sued as UDR – DCO Pacific City LLC, is sustained with leave to amend.<br><br>The Complaint filed by Plaintiff Kent Lehman fails to state facts sufficient to constitute a claim for negligence and is uncertain. (Co |